

- 1 (a) Calculate the total financial sector contribution (in \$) to Switzerland's GDP. [1]
- (b) Identify **two** microeconomic policy measures. [2]
- (c) Explain **one** reason why overdependence on foreign markets is a disadvantage to the Swiss economy. [2]
- (d) Draw a demand and supply diagram to show how a subsidy to solar energy producers would affect the market for solar energy. [4]
- (e) Explain **two** reasons why Switzerland had a current account surplus. [4]
- (f) Analyse the relationship between the global GDP growth rate and the change in the value of the Swiss franc. [5]
- (g) Discuss whether or not an increase in interest rates will harm the Swiss economy. [6]
- (h) Discuss whether or not a bank merger will benefit Swiss consumers and workers. [6]

Section B

Answer any **three** questions.

Each question is introduced by stimulus material. In your answers you may refer to the material and/or other examples you have studied.